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The Regents of the University of California
Revenue Bonds (Multiple Purpose Projects)
Special Purpose Statement of Income and Expenses
For the Year Ended June 30, 2005
and Report of Independent Auditors

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Report of Independent Auditors

To The Regents of the University of California:

We have audited the accompanying special purpose statement of income and expenses (the "financial statement") of The Regents of the University of California Revenue Bonds (Multiple Purpose Projects) ("Multiple Purpose Projects") for the year ended June 30, 2005. This financial statement is the responsibility of the University of California's management. This financial statement was prepared pursuant to the provisions of Section 6.06 of The Regents of the University of California Revenue Bonds (Multiple Purpose Projects) Indenture (the "Indenture") between The Bank of New York, N.A. (as successors in interest to BNY Western Trust Company), as successor trustee under the Indenture, and The Regents of the University of California. Our responsibility is to express an opinion on this financial statement based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statement is free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statement. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As discussed in Notes 1 and 2, the financial statement is not intended to be a complete presentation of the Multiple Purpose Projects' income and expenses, and is intended to present the income and expenses of only that portion of the business-type activities of the University of California that are attributable to the Multiple Purpose Projects. This financial statement does not purport to, and does not, present fairly the financial position of the University of California as of June 30, 2005, and the revenues, expenses and changes in net assets and cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

In our opinion, the financial statement referred to above presents fairly, in all material respects, the excess of income over expenses of the Multiple Purpose Projects pledge under the Indenture as described in Notes 1 and 2 for the year ended June 30, 2005, in conformity with accounting principles generally accepted in the United States of America.

PricewaterhouseCoopers LLP

October 17, 2005

The Regents of the University of California Revenue Bonds (Multiple Purpose Projects)

Special Purpose Statement of Income and Expenses

For the year ended June 30, 2005 (in thousands of dollars)

Income	
Sales and services	$364,987
Other revenue	421,643
Total income	786,630
Expenses	
Administration	44,879
Repairs and maintenance	10,675
Supplies and services	111,743
Telephone	597
Utilities	4,342
Other	67,800
Total expenses	240,036
Excess of income over expenses	$546,594

The accompanying notes are an integral part of this special purpose financial statement.

The Regents of the University of California Revenue Bonds (Multiple Purpose Projects)

Notes to Special Purpose Statement of Income and Expenses
For the Year Ended June 30, 2005

1. Organization

The Regents of the University of California Revenue Bonds (Multiple Purpose Projects) ("Multiple Purpose Projects") are contained within The University of California (the "University"), a public, state-supported institution. The accompanying special purpose statement of income and expenses is prepared pursuant to the provisions of Section 6.06 of the Indenture (the "Indenture") relating to The Regents of the University of California Revenue Bonds (Multiple Purpose Projects). Prior to June 30, 2005 certain bonds were retired. Outstanding bonds at June 30, 2005 include Series E dated November 1, 1997; Series F and G dated June 15, 1998; Series H, I, and J dated August 1, 1999; Series K and L dated September 1, 2000; Series M dated July 20, 2001; Series N dated October 31, 2001; Series O and P dated July 2, 2002; and Series Q dated May 20, 2003 (collectively, the "Revenue Bonds").

The bond proceeds were used to finance and refinance the acquisition, construction, renovation and improvement of certain facilities of the University, including student housing, faculty housing, parking facilities, student centers, recreation and events facilities, student health service facilities and certain academic and administrative facilities, and to finance certain seismic and life safety and facilities renewal projects of the University.

2. Summary of Significant Accounting Polices

The special purpose financial statement of the Multiple Purpose Projects has been prepared in accordance with accounting principles generally accepted in the United States of America (GAAP), including all applicable effective statements of the Governmental Accounting Standards Board (GASB) and all statements of the Financial Accounting Standards Board through November 30, 1989, using the economic resources measurement focus and the accrual basis of accounting. While this special purpose financial statement is presented in accordance with GAAP, it omits a statement of financial position, cash flows and other disclosures and, as such, is not intended to constitute a complete presentation of the financial position, results of operations and cash flows of the Multiple Purpose Projects.

Revenue available after senior lien obligations represents gross revenue of projects that have senior lien obligations up to the level of senior lien net revenue after senior lien obligations have been paid, including operations and maintenance of all senior lien project (including these projects) and senior lien debt service.

Sales and services represent income from projects that do not have senior lien obligations or a pro rata allocation from projects with parity lien obligations.

Expenses represent the operating expenses of the projects that do not have senior lien obligations. Certain expenses are based upon allocations of costs from the University which it deems to be reasonable. Such allocations might have been different if the parties were unrelated.

In accordance with the terms of the Indenture, investment income and interest expenses which are nonoperating items are not reflected in the special purpose statement of income and expenses.

The preparation of the special purpose statement of income and expenses, in conformity with GAAP, requires management to make estimates and assumptions that affect the reported amounts of income and expense at the date of the special purpose financial statement. Actual results could differ from those estimates.

3. Retired Revenue Bonds

In prior years, outstanding Revenue Bonds, Series A, B, C and D were retired.

4. Revenue Bonds Outstanding

Revenue bonds outstanding are as follows as of June 30, 2005 (in thousands of dollars):

	Annual Interest Rate Range	Dates of Maturity	Annual Principal Payments in Increasing Amounts	Principal Amount Outstanding
Series E	4.9% - 9.3%	9/1/05 - 9/1/2024	$8,020 - $20,730	269,645
Series F	5.0% - 7.0%	9/1/05 - 9/1/2027	$6,435 - $19,235	272,265
Series G	4.5% - 5.0%	9/1/05 - 9/1/2013	$3,980 - $5,850	43,595
Series H	5.3% - 5.5%	9/1/05 - 9/1/2028	$2,200 - $7,205	101,360
Series I	4.0% - 5.0%	9/1/05 - 9/1/2015	$1,385 - $2,180	19,170
Series J	4.5% - 5.0%	9/1/05 - 9/1/2014	$3,795 - $5,840	47,445
Series K	5.0% - 6.5%	9/1/05 - 9/1/2030	$5,340 - $18,800	280,210
Series L	4.0% - 5.0%	9/1/05 - 9/1/2015	$3,765 - $5,850	51,640
Series M	5.1%	9/1/05 - 9/1/2030	$2,445 - $8,535	127,360
Series N	3.3% - 4.4%	9/1/05 - 9/1/2016	$2,505 - $3,910	37,815
Series O	4.3% - 5.8%	9/1/05 - 9/1/2034	$5,155 - $21,500	346,020
Series P	3.0% - 5.0%	9/1/05 - 9/1/2019	$1,010 - $1,755	19,850
Series Q	3.0% - 5.0%	9/1/05 - 9/1/2034	$5,920 - $22,355	364,255
Total				$1,980,630

The bonds are collateralized by the excess of income over expenses (net revenues) of the various projects which they finance, subject to senior and/or parity claims. Included in net revenues of certain projects that are generally non-revenue producing facilities are federal indirect cost reimbursement funds.

Debt service in the amount of $138,005,223 representing principal of $37,565,000 and interest of $100,440,223 (including $4,196,854 in capitalized interest funded from bond proceeds) was paid on the bonds during the year ended June 30, 2005.

5. Net Revenue Requirement

The Indenture requires that current year net revenues (as defined in Note 4) equal or exceed 1.25 times the aggregate annual debt service less amounts funded from bond proceeds ($133,808,369 for the year ended June 30, 2005). As of June 30, 2005, the University had met this requirement.

6. Subsequent Event

In July 2005, General Revenue Bonds totaling $558.4 million were issued to refinance the acquisition, construction, improvements and renovation of certain facilities and projects of the University. Proceeds, including a bond premium of $33.1 million, together with certain University funds, were used to refund $439.2 million of a portion of outstanding Multiple Purpose Projects Revenue Bonds Series F, G, H, I and J, as well as other series of bonds.